WELLS FARGO ADVISORS

Attractive investment prospects for long-term investors

Spotting Opportunity Amid Uncertainty

The U.S. economy is going through a difficult period, but investors should take note that difficult periods may provide them with attractive longer-term opportunities. For example, today, just as in the past, many companies have been growing profits, even in this weaker economic recovery. Longer-term investors can expect profits to continue to trend upward as the population grows and businesses expand here and abroad. Now is a good time for investors to look past the present uncertainties and consider the potential opportunities in a variety of markets, both at home and overseas.

Together we'll go far

See page 8 for important disclosures.

"He burned his tongue on the soup, and now he always blows on the yogurt."

– Turkish proverb

Just like the proverbial hot soup, national and international events in the past 10 years may have left many investors feeling "once burned, twice shy" about investing. The attacks of 9/11, natural disasters, financial crises and worries about U.S. government debt clearly have important consequences for savings and investment returns. But the consequences may be manageable and even exploitable if investors adopt a few strategies and, most importantly, take the right perspective.

It seems foolish that hot soup might lead one to always blow on one's food (hot or not) forever after. A more measured caution and a deliberate approach, to soup or to investing, may serve better in the long-term than constant fear of the unknown. This report provides a brief perspective on "big picture" risks and offers some practical advice on how to make the most out of macro uncertainty.

A brief historical perspective on macro uncertainty

An article from *The Wall Street Journal* written for the 10th anniversary of the 9/11 attacks referred to a Federal Reserve survey of 3,500 people.[1] The respondents were asked the question, "If you had money left over after your expenses at the end of the month, what do you think is the wisest thing to do with it nowadays: Put it in the bank, buy government (savings) bonds, invest in real estate or buy common stock?" The responses were unambiguous: 49% preferred buying government bonds while equities finished last with only 6% preferring buying common stock. What's more, 28% said they refused to hold stocks because of their "lack of safety."

But ... the survey wasn't from this year or last. It was taken in 1951.

Not to take away from the difficulties of the past few years, but 1951 was a trying time. It was the second year of the Korean War. Communist China entered in a late-1950 surprise offensive that sent U.S., United Nations and South Korean forces reeling. The war that was nearly won might have been lost. At the same time, Americans were starting to confront the idea that the Soviet Union was becoming a nuclear power.

The 1950s brought many other events that were shocks (Sputnik and the onset of a deep cold war), but such shocks have been more the norm than the exception in history. For example:

- In the 1930s, the Great Depression dominated the decade.
- In the 1940s, World War II cost 50 million lives around the world.
- From the 1950s to 1990, the United States confronted thousands of Soviet nuclear warheads and challenged the Soviet Union across different theaters in Africa, Latin America and Asia.

In the sense of "big picture," or macro, events, the 1980s and 1990s were historically the exception rather than the rule. There were recessions, but there were fewer than any other two-decade period in U.S. history. There were wars, but they were shorter and had fewer casualties than in any other two-decade period. These were also the decades when many investors today were getting started with saving for retirement, which means that many of investors today have not seen the types of macro risks that were part of earlier decades. As a result, it may have been easy to fall into the misleading conclusion that investing is only about balance sheets, earnings and ratios.

Macro events returned in a cluster during the past 10 years: 9/11 was the beginning but was followed by the housing bubble, Hurricane Katrina, the 2008 financial crisis and now the European debt crisis, the revolutions in the Middle East, and the Japanese quake and tsunami. People often wonder whether there is a "new normal," but macro uncertainty is actually a very old and dependable normal.

[1] *Jason Zweig, "The Age of 'Macro' Investing,"* The Wall Street Journal*, September 10, 2011.*

See page 8 for important disclosures.

How does an investor deal with what cannot be predicted?

Macro events present investors with uncertainty that cannot be predicted. Certainly, natural disasters like earthquakes and tsunamis cannot be predicted. Political crises are also difficult to foresee, depending as they do on decisions by many people, often entire nations. And because it cannot be predicted, uncertainty cannot be managed.

Quite obviously, the uncertainties of the past 10 years are unlikely to be the uncertainties investors will worry about in the next 10 years. But you can expect there to be uncertainty and macro events. A few simple guidelines can help you make the most out of this reality.

Know yourself

An important starting point is to remain firmly grounded in your investment objectives. Is your goal to retire comfortably or to send a child or grandchild to college? If those events are years away, a brief downturn should not be a major concern. The table below shows that stock market declines have historically been relatively short-lived. Of course, there is no guarantee that what we are experiencing is an average downturn or that past performance indicates future results. But knowing your time horizon allows you to plan for longer than the consequences of many events.

It is also very important to know your risk tolerance. Earthquakes and outbreaks of civil strife are unpredictable, but some comparisons between asset classes have shown historical consistency or quantifiable risk. More specifically, stock returns have fluctuated in a larger range than bond returns over many decades. This consistent difference lets us say that stocks are somewhat riskier than bonds. So, if that risk difference persists, it is reasonable to rank your preference for stocks versus bonds based on your comfort level with the risk of holding one versus the other. More generally, as long as you know your risk tolerance, you can rank your preferences among various assets.

Furthermore, if those historical return ranges hold over planning periods, then investors who need stability should have a higher proportion of their investments allocated to bonds rather than to stocks. Your Financial Advisor will work with you to discover your risk tolerance and investment horizon. From there, your specific recommended asset allocation can be determined.

A history of declines *(1900-2010)*

This study shows how frequently declines in the Dow have occurred since 1900. As you can see, they have been regular events.

Type of decline	Average frequency*	Average length†	Last occurrence	Previous occurrence
Routine (5% or more)	About three times a year	47 days	August 2010	July 2010
Moderate (10% or more)	About once a year	115 days	July 2010	March 2009
Severe (15% or more)	About once every two years	217 days	March 2009	March 2008
Bear Market (20% or more)	About once every 3½ years	338 days	March 2009	October 2002

Source: Capital Research and Management Company, as measured by the unmanaged Dow Jones Industrial Average. Past performance is no guarantee of future results.

*Assumes 50% recovery of lost value after each decline

†From market high to market low

As of Dec. 31, 2010. Past performance is no guarantee of future results. An index is not managed and is unavailable for direct investment.

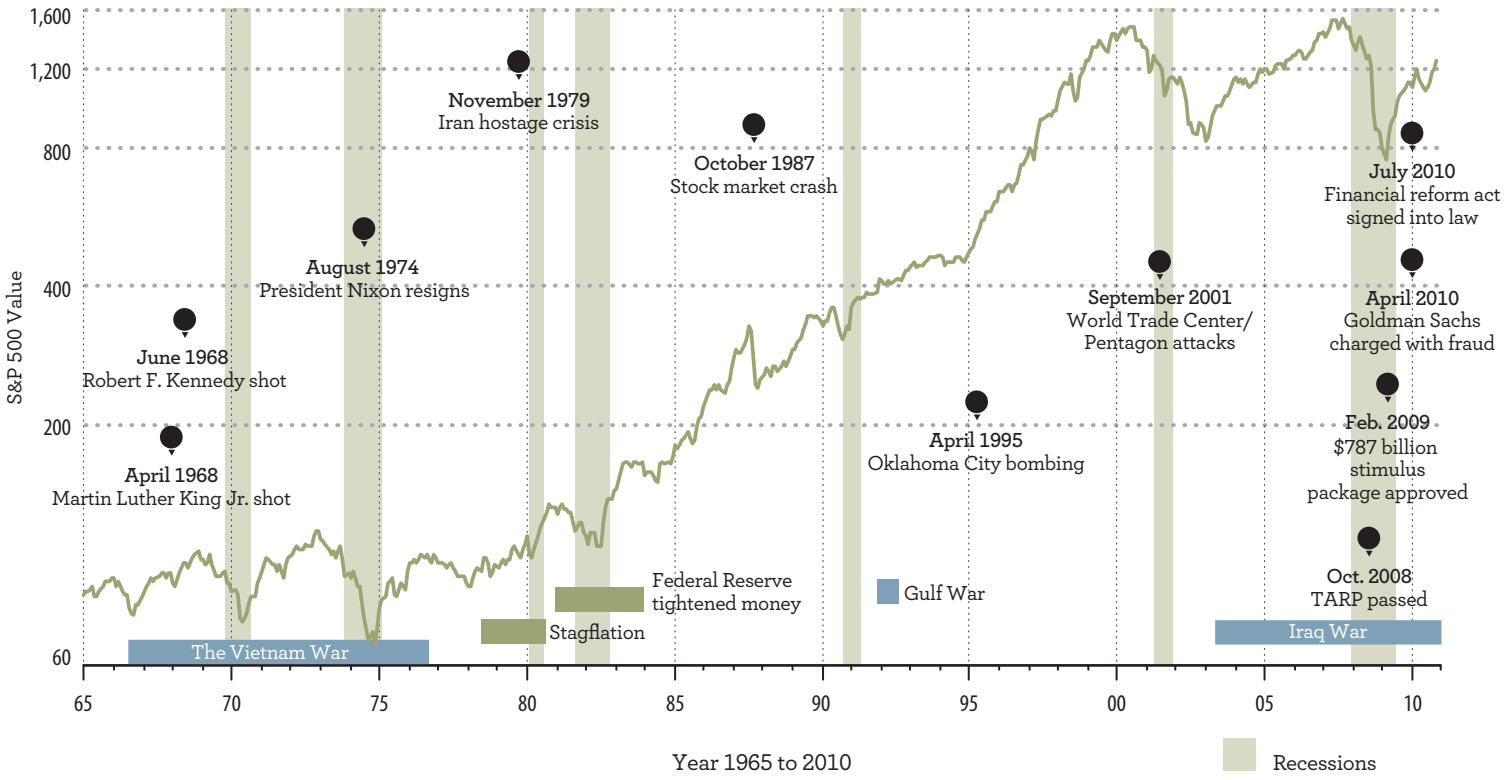
See page 8 for important disclosures.

Focus on the long-term

Knowing your objectives and your risk tolerance lets you take macro uncertainties with some detachment. If you're saving for retirement or preserving assets in retirement, you may be better off looking beyond the current headlines to consider a market's historical performance and how current market performance appears to be part of a pattern the market has repeated on a fairly regular basis throughout history. Even with the weak U.S. housing market holding back the economic recovery, stock prices are nearly double where they were in March 2009. And the sectors that historically outperform in the early and middle parts of a recovery are very close to the same pattern seen in previous economic recoveries.

It is also worth remembering that the economy is very resilient to surprises. Many events are temporary, but even those with far-reaching consequences simply present new challenges for businesses to overcome. Since 1965, the Standard & Poor's 500 index (S&P 500) has had an average annual return of 10% despite several periods of market declines, many of which were associated with particular events or other crises. The chart below compares the index over those 45 years from 1965-2010 against many of the most consequential events during that period.

The performance of the Standard & Poor's 500 composite index *(1965-2010)*



Source: *Wall Street Journal*, Haver Analytics

As of Dec. 31, 2010. Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

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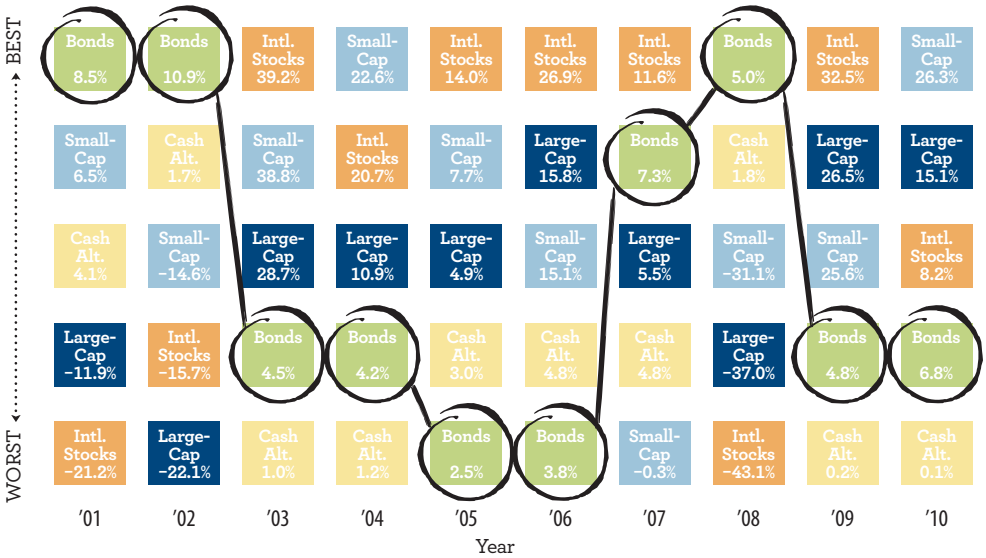
Don't forget the value of asset allocation

One implication of unpredictable events is that it's difficult to forecast which asset class will be the top (or bottom) performer in a given year. The chart below illustrates that the ranking, top to bottom, of the asset classes changed quite a bit over the past 10 years. How can one predict the rankings for the next 10 years when the past 10 years' uncertainties are unlikely to be the uncertainties investors will encounter in the next 10 years? The impossibility of this task means that investors should have exposures to a diverse group of asset classes.

Fortunately, history does provide some help in the relative return variations of the various asset classes (i.e., risk across asset classes). Here is where knowing yourself as an investor pays off. Your risk tolerance and investment objectives can help us design an allocation of your investments across asset classes to help you reach your desired return with a risk level that you are comfortable with. Once set, it is best not to significantly rearrange your asset allocation based on a single year's performance. Again, this year's top performers could easily be next year's laggards. It is better to change the allocation only if your life changes significantly (a birth, death, etc.).

Asset allocation, knowing yourself and focusing on the long-term are all ideas that fit together. If you are a long-term investor who focuses on long-term opportunities, you will be aligning your time horizon with the best investment prospects for that time horizon. Furthermore, if you know your risk tolerance, you are able to choose an asset allocation that suits your comfort level. Note: Our Strategic Asset Allocations look for the best investment prospects over a 10 to 15 year period. Asset allocation does not eliminate market risks.

The value of asset allocation *(2001-2010)*



There's no telling which investments will perform better or worse from one year to the next. One year's leader can be the next year's laggard, and vice versa. This chart shows how various asset classes have performed during the past 10 years. For example, notice how bonds — a relatively stable asset class — have been both the best and worst performer as well as everything in between.

- **Barclays Capital U.S. Treasury Bills (1-3M)** – An index that is representative of money markets.
- **Merrill Lynch U.S. Government/Corporate Master Index** – A statistical composite tracking the performance of the entire U.S. corporate bond market over time.
- **S&P SmallCap 600 Index** – The 600 smallest U.S. companies on the S&P Composite 1500 index as measured by market capitalization.
- **MSCI EAFE** – Represents all of the MSCI developed markets outside of North America.
- **S&P 500** – Covers 500 industrial, utility, transportation and financial companies in the U.S. markets.

As of Dec. 31, 2010. Past performance is no guarantee of future results. You cannot invest directly in an index.

See page 8 for important disclosures.

Today's opportunities amid uncertainty

We foresee a broad array of attractive investment opportunities across asset classes for longer-term investors. Our Strategic Asset Allocations consider opportunities in a broad and diverse set of asset classes, including domestic and international equities, fixed income and commodities.

Equities. Regarding equities, investor and consumer confidence is quite low at the moment, and events in the United States and Europe are creating uncertainty. However, we believe stocks will continue to contribute as an important source of portfolio returns in the future. We see attractive valuation opportunities for long-term investors in many stocks today, particularly in those stocks offering solid dividend yields in excess of the 10-year Treasury yield and many corporate-bond yields. Furthermore, broad equity market valuations are quite attractive versus those of competing fixed income vehicles. In fact as of Sept. 21, 2011, the S&P 500 index currently has a price-to-earnings (P/E) ratio of 11.0. That compares with a long-term P/E average ratio of more than 16. (The higher the P/E ratio, the more expensive stocks are considered to be.) Consequently, the market does not appear to be expensive on a historical basis.

While many investors could not own enough equities back in 1999 and early 2000 (when stocks appeared expensive), they are just as inclined today not to buy attractively priced equities for the longer-term. Although equities may remain volatile in the near- and intermediate-term, many issues offer interesting valuations for investors seeking attractive long-term returns. High quality, dividend-paying stocks currently offer attractive long-term potential as well as a buffer against volatility. Long-term investors must look beyond the near-term volatility and negative sentiment and toward the potential for longer-term wealth building as populations and productivity grow worldwide.

Fixed income. Fixed income should remain an important asset class in many portfolios, even in today's low-interest-rate environment. While we anticipate that yields will rise over time, fixed income investments can help you reduce your portfolio's overall risk. There are many different types of fixed income investments, ranging from high- to low-credit quality and short- and long-term maturities. Our fixed income recommendations emphasize discipline. Today's exceptionally low interest rates may encourage investors to take risks in search of yield. Short-term, high-quality fixed income securities continue to allow investors to preserve capital and liquidity, but this comes at the cost of little or no yield or return. For additional return potential with some increase in risk, we recommend that investors shift out of low-yielding Treasuries and Treasury Inflation-Protected Securities (TIPS) sectors and rotate into corporate bonds and preferred securities. Investors with a long-term investment horizon who are willing to be exposed to market volatility and greater risk should consider adding allocations to high-yield securities; we view current yield spreads in high-yield securities as attractive.

International. We also expect international investments to provide a number of long-term opportunities, and most of these in destinations that will be new for many U.S. investors. Most of the economic growth in the world today is coming from places outside of the United States. Moreover, problems in traditional destinations such as Europe and Japan should keep investors looking more broadly around the world, especially to other developed and emerging economies. The past 50 years of technological improvements and economic development have helped much of the world catch up to the U.S. economy when it comes to standard of living. Many international markets for goods and securities are becoming increasingly technologically sophisticated and available to global investors. In the coming decades, we foresee further advances for these economies and markets. International economic development also boosts the overseas demand for raw materials, in some cases faster than supply can keep up. Strong demand plus supply constraints should equate to upward pressure on commodity prices.

See page 8 for important disclosures.

Important disclosures

Past performance is no guarantee of future results.

Diversification/asset allocation does not guarantee a profit or protect against loss.

Dividends can be increased, decreased or totally eliminated at any point without notice.

Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuation, political and economic instability and different accounting standards. This may result in greater share price volatility.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

Investing in fixed income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed income investments may be worth less than the original cost upon redemption or maturity. Bond prices fluctuate inversely to changes in interest-rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

Although Treasuries are considered free from credit risk they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate, and deflation risk, which may cause principal to decline and the securities to underperform traditional Treasury securities.

TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually, although no income related to "inflation compensation" is received until maturity.

Buying commodities and/or precious metals allows for a source of diversification for those sophisticated persons who wish to add these types of investments to their portfolios and who are prepared to assume the risks inherent in these markets. Any purchase represents a transaction in a non-income-producing commodity and is highly speculative. Therefore, commodities and/or precious metals should not represent a significant portion of an individual's portfolio.

While stocks generally have a greater potential return than government bonds and Treasury bills, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

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